THE CASE FOR CHANGE

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SaaS has repriced. Our measurement has not.

Committed ARR books every signed dollar as earned — a workable approximation under seat pricing and a silent one under consumption. There are five places the signed dollar stops equaling the earned dollar, and Committed ARR shows zero movement on all of them until the contract expires.

01
Shelfware
Signed, not consuming.

02
Spike-drop
Heavy early use, then the cliff.

03
Overage
Consuming beyond entitlement.

04
Mid-term expansion
Second contract compounds.

05
Orphan usage
Consumption with no contract.

–$16.6M

Hidden on our own 1,000-account book, today.
The gap between what Committed ARR says we earned and what the consumption signal says we actually earned. The gap compounds every quarter the pricing pivot runs.

THE PROPOSAL

cARR. One figure. Additive to what the board already sees.

$$cARR = Committed_ARR \times HealthScore$$

HealthScore ∈ [0.40, 1.30] — bounded, interpretable, rules-based

BOUNDED

Worst case is known before deployment.

Floor 0.40 · Ceiling 1.30

RULES-BASED

A rep in a dispute can read the rule that moved her score.

SQL — not a learned model

ADDITIVE

Committed ARR keeps rolling up to the board unchanged.

No restatement, no re-forecast to the Street

REVERSIBLE

Rollback is one decision, not a data migration.

Automated if comp-safety gate fails

EVIDENCE — OUR OWN 1,000-ACCOUNT BOOK, TODAY

$16.6M surfaced. Mode by mode.

COMMITTED ARR	CARR	NET ADJUSTMENT SURFACED	PORTFOLIO HEALTHSCORE
$133.2M	$116.6M	−$16.6M	0.875

FAILURE MODE	SEAT READ	CARR READ	Δ (DOLLARS / %)
Shelfware	$14.1M	$5.6M	−$8.5M −60%
Spike-drop	$5.5M	$2.3M	−$3.2M −58%
Overage	$23.1M	$27.1M	+$4.0M +17%
Mid-term expansion	$1.7M	$1.9M	+$0.3M +16%
Orphan usage	—	—	72.7K credits excluded upstream

Snapshot 2026-04-21 · every Δ is an asserted threshold in the comp-safety test suite, not a one-off read

FOR THE CFO

What changes. What doesn't. For finance and the board.

Q. What do the board and the Street see?

Committed ARR continues reporting unchanged in the board pack and the 10-Q. cARR is an internal management lens this year. No restatement. No re-forecast to the Street. IR determines if and when cARR appears externally — a separate decision, gated on one full reporting cycle of internal use.

Q. Does our forecast get better or worse?

More stable against consumption shocks. A shelfware account moves –60% in cARR and 0% in Committed ARR until expiry — meaning the Committed forecast is over-reading by construction on accounts the pivot has created. cARR shortens the gap between forecast and post-close reality.

Q. Restatement and audit — what's the rule when the data changes after close?

Month-end snapshots are frozen. A rep's Q1 figure cannot change after close. Post-close truth flows through **forward adjustments** on the next cycle — the way finance already handles bookings corrections. No retroactive comp. Full audit trail on every HealthScore input.

Q. What's the comp-expense delta?

0.875 portfolio HS is a 12.5% variable-pay haircut if passed through naively. We are not going to pass it through naively. Phase 2 shadow comp quantifies the per-rep and aggregate delta before a dollar moves. OTE and quota are rebalanced against cARR at the Phase 3 FY boundary — a design input, not an aftershock.

FOR THE VP SALES

What changes. What doesn't. For the field.

Q. Does this punish my top reps?

A clean book moves within ±5–10% of Committed attainment. The **floor at HS 0.40** caps any single-account downside. Phase 1 publishes per-rep distributions; any rep whose book skews shelfware gets **quota rebalanced**, not comp cut.

Q. Is this a mid-year change to paid comp?

No. Phase 1 is read-only. Phase 2 is compute-only, paid on Committed ARR. Phase 3 cutover is anchored to the **FY boundary + quota-setting cycle**. Zero mid-year changes to paid compensation.

Q. Accelerators, SPIFFs, draws — do I rebuild the plan?

No. cARR replaces Committed ARR as the attainment base. Accelerators, SPIFFs, draws, channel comp — all compose on top unchanged. The **mechanics stay; the denominator shifts**.

REP STATEMENT · SAMPLE — Q2 FY26

Account	ACME CORP
Rep	Sarah Chen
Committed ARR	$240,000
cARR	$120,000
HealthScore	0.50

WHY 0.60 — THE SPECIFIC RULE

rule_applied	spike_drop_modifier × 0.50
M_1 usage share	78% (threshold 70%)
contract_age	142 days (threshold 90)
evidence_rows	daily_usage_logs #1742–2081

DISPUTE PATH — “why is Acme spike-drop?” → /ask-carr

Rep-readability is a product feature, not a promise. Every HealthScore below 1.00 ships with the rule, the thresholds it crossed, and the row-level evidence a rep can pull up in one click. No black-box line on the comp statement.

ROLLOUT

Three phases. Business gates. One decision today.

PHASE 1

THIS QUARTER

Publish alongside.

cARR appears on the exec and rep dashboards next to Committed ARR. **Read-only.** No comp impact. One full review cycle for reps and managers to read the figure.

Gate to Phase 2: reps and managers can read the figure · dispute rate within target · CFO + VPS sign-off.

PHASE 2

NEXT FY — SHADOW

Shadow comp.

Dual-computed monthly. Both figures on the rep statement. **Comp still paid on Committed ARR.** Per-rep delta published without being acted on; top-rep attrition risk quantified.

Gate to Phase 3: dual-comp delta within pre-agreed band · no comp-safety test failure · CFO + VPS sign-off.

PHASE 3

FY BOUNDARY

Cutover, with rollback.

cARR drives variable comp. **Committed ARR continues rolling up to the board unchanged.** Quota and OTE set against cARR at the start of FY.

Safety net: automated rollback to Committed-based comp if drift exceeds 5% or any comp-safety test fails. One decision — no data migration.

THREE DECISIONS FROM TODAY'S MEETING

1. **Approve Phase 1** — publish cARR alongside Committed ARR on the exec and rep dashboards this quarter. Read-only, no comp impact.
2. **Name a CFO delegate and a VPS delegate** — co-owners of the quarterly threshold review that gates each phase.
3. **In-principle approval for Phase 2 shadow comp** — contingent on Phase 1 gates being met; protects the measurement pivot from falling behind the pricing pivot.